

CASE STUDY

Leveraging Social Capital to Obtain Top Management Support in Complex, Cross-Functional

IT Projects

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INTRODUCTION

In this case study assessment, we will delve into the significance of Social Capital within organizations, particularly in the context of complex, cross-functional IT projects. Social Capital refers to the networks, relationships, and trust that facilitate collaboration and communication among individuals and teams. In today's interconnected work environment, the ability to navigate and leverage these relationships is crucial for project success.

Furthermore, we will explore strategies for leveraging Social Capital to secure buy-in from Senior Management, which is often a critical factor in the successful implementation of IT projects. Gaining the support of senior leaders involves not only presenting compelling project proposals but also building strong relationships with key stakeholders.

1.1 OVERVIEW

The RSVP team is currently working at MoonTrust Bank in the IT (Information Technology) department. The team holds various designations, such as Developer, QA Tester, Architect, and Project Lead. MoonTrust Bank began its journey in 1920 and currently has 850 employees serving 3.5 million customers in the United States. The bank offers a variety of products, including Checking and savings accounts, Credit Cards, Mortgages, and Small Business and Commercial Lending. The Corporate office of the bank consists of the Legal, IT, Credit, Finance, Marketing, and Operations departments. Each department is headed by an Executive who reports to the Chief Executive Officer (CEO) of the bank.

1.2 BACKGROUND

The bank adopts a legacy approach to project implementation, wherein projects are evaluated based on their anticipated business impact and the effort required for execution. This methodology prioritizes initiatives according to both business objectives and customer needs, ensuring that resources are allocated to projects deemed most critical for achieving

strategic goals. However, this process often entails considerable challenges, particularly in securing project approval. Gaining the necessary buy-in from multiple cross-functional leaders can be time-consuming and complex, as each leader brings their own perspectives and priorities to the table (Griffin, 2019). Consequently, the approval process can become protracted, delaying important initiatives that could enhance the bank's competitive edge and customer satisfaction.

Moreover, the operational dynamics within the bank further complicate project implementation. Each department tends to function in isolation, which creates silos that hinder effective communication and collaboration among teams. This lack of shared intent among both leaders and employees can lead to discrepancies in opinion regarding project value and objectives, resulting in conflicts and misaligned efforts. Addressing these silos and fostering a culture of collaboration could significantly enhance project implementation processes and improve the bank's ability to respond to the evolving needs of its customers (Griffin, 2019).

1.3 USE OF SOCIAL CAPITAL TO LEVERAGE BUY-IN FROM SENIOR MANAGEMENT

In the following sections of the case study assessment, we will discuss the various Organizational Behaviors of MoonTrust Bank, and its employees and how the RSVP team overcame these issues to secure buy-in from Senior Leaders using Social Capital. The RSVP team adopted an approach of creating and mobilizing Social Capital through repeated conversations with Senior Leaders to build trust, leveraging this credibility to gain support from Senior Management in complex IT projects.

1.4 APPROACH

The RSVP team will conduct a thorough SWOT analysis to evaluate the organizational behavior challenges at MoonTrust Bank. This analysis will focus on

identifying the bank's strengths, weaknesses, opportunities, and threats related to its organizational dynamics. Following the analysis, the team will present targeted recommendations aimed at improving these organizational behavior issues. This strategic approach is intended to facilitate the RSVP team's efforts in securing buy-in from Senior Management for complex IT projects.

STRATEGIC ANALYSIS AND IDENTIFYING THE PROBLEM

2.1 PROBLEM IDENTIFICATION

The problem MoonTrust Bank is facing difficulty in obtaining top management support for IT projects that are too complex to convert into direct metrics, particularly with Enterprise resource planning implementation. There are lot of challenges in influencing top management, in the past procurement division's lack of support delayed the project with poor implementation quality. This failure arises because of insufficient social capital – the relationships, trust, and shared understanding. For better project implementation the IT department needs proper resource allocation, top management participation and commitment. As an example, in a healthcare organization, it was observed in a study that employees with strong internal social networks were more successful in influencing senior leaders to adapt newer technologies. This social capital was built through collaboration, shared goals and fostering relationships across various departments (Cross, R., & Prusak, L. (2002).

2.2 STRATEGIC ANALYSIS

A strategic analysis of MoonTrust Bank's ERP project implementation would be having support from all the divisions i.e. finance, procurement, marketing etc because of social capital. Social capital will be the driving factor in the success of the project. Management is naturally skeptical of big expenses and are disengaged until required. Social capital comes in where lack of understanding in project value exists. In addition to the social capital this

relation will help the IT department get more weightage in the bank as some of them still work using traditional methods

To explain it more comprehensively, we will conduct SWOT analysis to identify internal and external factors that will affect the project. A comprehensive SWOT analysis can provide guidance on how to approach relationship management, stakeholders, and project execution to maximize success.

Strength, weakness, opportunity and threat (SWOT) analysis is a tool that can help the department in analyze what they do best now and to devise a successful strategy for the future. It also helps us in understanding internal factors (strength and weakness) and external factors (opportunities and threat).

Strength

- Established track records and history of successful IT Projects will help us foster trust and credibility with the finance department. This will help us in the long run as they can be our strong supporter for ERP implementation. For example, in a multinational company, there was resistance to a company-wide restructuring however, employees who had built trust with management through previous successful projects were able to get buy-in from leadership for the change initiative, illustrating the power of social capital (Nahapiet, J., & Ghoshal, S. (1998)).
- IT professionals in the bank are some of the bests in the industry with deep technical knowledge. Their adaptability to changing needs of the industry and having most up to date technological knowledge. This expertise will help us customizing the project with greater flexibility. They built trust with managers by showing their willingness to engage with managers and have demonstrated their technical competence.

- Our strong relationship with product department as we have delivered their ad-hoc request and big projects in the past. By working closely to them we have maintained close relationship with them. This history of successful previous runs and collaborations will provide foundation of trust and credibility.
- The engagements transformed initially skeptical or passive managers into active project supporters.

Weakness

- Inconsistent management support is one of the biggest weaknesses which can delay the project and might have lowered implementation quality.
- Poor communication skills and social capital as the IT department is completely cut off from other departments as being completely self-sufficient. This lack of cognitive and relational ties lead to misunderstanding about the IT department.
- Poor handling of skepticism and resistance can foster conflicts and poor project outcomes. The goal is to have win-win mindset with relational ties.
- Communication inconsistencies may lead to misunderstandings with other departments like finance. Structured and timely communication should be encouraged to keep clarity between divisions.

Opportunities

- The opportunities lie within to build trust and long-lasting relation as we work with product and finance departments other project with positive attitude. Research shows that in high-tech firms' employees who have leveraged social capital, by forming alliances and trust-based relationships were able to secure buy-in from management (Tsai, W., & Ghoshal, S. (1998)).

- Exploring cross functional benefit of ERP to integrate and streamline with other departments and benefit them by increasing their efficiency and reducing redundant work. This can be done by demonstrating the importance of ERP in the company and getting them onboard.
- Improvement in communication and soft skills of IT employees by having cross departmental outings and happy hours where they can build personal connection hence increasing social capital of the department.
- Providing training and development to other divisions regarding the new ERP platform and how it can increase efficiency in their line of work. It will help them enhance their technological proficiency, making them more adaptable to future IT changes.
- If successful, the ERP will help organizations processes, data, and reporting across divisions. Providing real time analytics and insights to top management.

Threats

- Resistance to change is our biggest threat as employee may push back on acquiring new skills. Resistance can happen in all the divisions and not just IT. This can derail the project or create interpersonal conflict.
- There were some previous IT projects that failed miserably and because of that there is some level of mistrust with few divisions, that can pose significant threat.
- Interpersonal conflict can also affect the Campaign as it can be escalated and threatens the project. Conflicts can harm relationship between key stakeholders, eroding trust and cooperation.
- Resource constraint is another significant threat as this is a big project and they will need extra budget to hire new employees.

- Though ERP is an excellent system that makes life easier, it is also very complex to develop. Poor adaptation and sense of frustration while building it can have adverse effects.

SOLUTION/RECOMMENDATIONS

3.1 PROPOSED RECOMMENDATIONS:

To resolve MoonTrust Bank's organizational challenges, we propose the following:

3.1.1 STRENGTHEN CROSS-DEPARTMENTAL COLLABORATION

- **Cross-Functional Task Forces:** Establish teams with members from IT, finance, marketing, and procurement to improve collaboration and shared understanding of the ERP project.
- **Regular Meetings and Leadership Workshops:** Schedule monthly meetings across departments and workshops for senior leaders to align the ERP goals with the bank's strategic objectives.

3.1.2 EMPOWER MIDDLE MANAGEMENT

- **Delegate Decision-Making Authority:** Grant middle managers the autonomy to make project-related decisions, enabling them to bridge departmental gaps (Tsai, 1998) and gain support for the ERP project.
- **Advocacy Role:** Equip middle managers with resources to champion the ERP project in their departments.

3.1.3 IMPROVE COMMUNICATION AND TRANSPARENCY

- **Regular Progress Updates:** Implement consistent reporting through dashboards and updates to keep senior management informed of project milestones.
- **Feedback Channels:** Create mechanisms, such as surveys and focus groups, to gather feedback from all departments.

3.1.4 LEVERAGE SOCIAL CAPITAL

- **Build Internal Networks:** Facilitate informal networking and team-building events to foster trust and collaboration between IT and other departments.
- **Use Influential Employees:** Leverage employees with strong internal networks to secure senior management buy-in and resolve departmental conflicts.

3.2 KEY STEPS FOR IMPLEMENTATION:

- **Identify Influential Stakeholders:** Map internal influencers who can serve as project champions.
- **Organize Cross-Departmental Activities:** Hold regular team-building events and cross-functional meetings to promote collaboration.
- **Allocate Budget and Resources:** Allocate \$500,000 for training, additional staffing, and team-building activities to support project implementation.
- **Establish Middle Manager Ownership:** Empower middle managers to lead specific aspects of the ERP project (Nahapiet, 1998), improving decision-making and alignment.

3.3 MONITORING AND EVALUATION

- **Quarterly Surveys and Feedback:** Collect feedback through surveys to assess collaboration and management engagement.
- **Performance Metrics:** Track project progress using metrics such as timeline adherence, budget tracking, and operational efficiency improvements.
- **Leadership Participation:** Monitor senior leaders' involvement through attendance at meetings and project updates.
- **Celebrate Milestones:** Acknowledge project achievements publicly to reinforce the importance of collaboration and management support.

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